MCA LLP Simplified Regulatory Framework and Decriminalization for MSMEs

Issuing Authority: Ministry of Corporate Affairs, Govt. of India

1. Small LLP Statutory Classification

The Limited Liability Partnership (Amendment) Act created the statutory concept of 'Small LLP' (contribution up to Rs. 25 Lakhs and turnover up to Rs. 40 Lakhs). Small LLPs enjoy minimal regulatory oversight, zero compliance penalties, and abridged filing requirements.

2. Decriminalization of Technical and Minor Defaults

Minor procedural and technical defaults in LLP filings (such as delayed submission of statement of accounts or partner changes) have been fully decriminalized. Criminal prosecution has been replaced with modest civil penalties administered by an in-house adjudication mechanism.

3. Audit Exemption for Small LLPs

An LLP whose turnover does not exceed Rs. 40 Lakhs in any financial year or whose capital contribution does not exceed Rs. 25 Lakhs is exempt from having its accounts audited by a Chartered Accountant, substantially reducing overhead costs for emerging partnerships.

4. Paperless E-Filing via MCA21 V3 Portal

All LLP formations, Form 8 (Statement of Account & Solvency), and Form 11 (Annual Return) filings are processed digitally on the MCA21 V3 platform with straight-through-processing (STP) approvals for standard filings.